

Group Members :Rutendo Nyoka, Nia Bishop, Heven Abraha Julia See

Group Case 1

Atlantic Computer: A Bundle of Pricing Options – HBS Case Study
Review of TEV & P V

https://docs.google.com/presentation/d/10hTUPu2I3mNQ_Nv6fkp1GZEuPE7PLVU79UrQp-m1o-I/edit?slide=id.g3f87bd6372e_1_1189#slide=id.g3f87bd6372e_1_1189

From the syllabus: The Group Case Assignments should be submitted in PowerPoint form in Canvas. This is to ensure that you prepare the cases well. Not all submissions will be graded, only 2~3 cases will be chosen at random for grading (I will announce it at the start of that class). All cases will, of course, be discussed in class.

Focus on questions 1 and 2, and provide a quantitative answer.

Case Study Questions:

Q1. What price should Jowers charge DayTraderJournal.com for the Atlantic Bundle (e.g., 2 Tronn servers + PESA software tool)? -

- **\$4,200**
- Value in use pricing strategy compares the total savings for the consumer based upon buying 4 Zinks from their competitor Ontario. The Atlantic Bundle also saves [DayTraderJournal.com](#) expenses related to electricity, fewer servers would have to be purchased short term, savings for software licensing fees, and labor costs.

Q2. Think broadly about the top-line revenue implications from each of the 4 alternative pricing strategies. Approximately how much money over the next 3 years will be “left on the table” if the firm were to give away the software tool for free (e.g., status-quo pricing) versus utilizing one of the other pricing approaches?

Status Quo vs. Competition-Based	\$36 million	\$14.8 million
Status Quo vs. Cost-Plus	\$23.8 million	\$2.6 million

Status Quo vs. Value In Use	\$44.5 million	\$23.3 million
Status Quo	\$21.2 million	

Q3. How is Matzer likely to react to your recommendation? **Heven**

- Initial resistance: Matzer traditionally believes software tools like PESA should be given away for free.
- Concern about changing tradition: Value-in-use pricing represents a shift from Atlantic's traditional cost-plus pricing approach.
- Potential acceptance: Jowers can gain Matzer's support by demonstrating PESA's measurable customer savings and the additional revenue Atlantic can capture.
- Key takeaway: Atlantic should capture a portion of the value PESA creates rather than give it away for free.

Q4. How is Cadena's sales force likely to react to your recommendation? **Heven**

- Possible resistance: The sales force is traditionally hardware-focused and accustomed to giving software tools away for free.
- Pricing may be harder to sell: Salespeople may worry that charging for PESA will make the Atlantic Bundle appear more expensive and create customer objections.
- Financial incentive: Because approximately 30% of sales compensation comes from commission, higher bundle revenues could motivate the sales force to support the strategy.
- Key takeaway: Atlantic should train the sales force to demonstrate PESA's measurable customer value and cost savings, rather than selling it as simply an additional software charge.

Q5. How are customers in your target market likely to react to your recommended pricing strategy? What response can be provided to overcome any objections? **Heven**

- Initial reaction: Customers may resist paying for PESA because software tools are traditionally expected to be included for free.
- Price concern: Customers such as DayTraderJournal.com may focus on the higher upfront price, especially because minimizing acquisition cost is a key buying criterion.
- Overcome objections with value: Atlantic should demonstrate that PESA allows customers to use fewer servers, reducing electricity, software licensing, and labor costs.
- Key takeaway: Shift the conversation from "How much does PESA cost?" to "How much does PESA save you?" This shows customers that they still receive significant economic value even when paying for PESA.

